

Plan for today:**1. How to write an IA?****What does the Economics IA look like?**

- A portfolio of 3 commentaries
- Max word count is 800 words per commentary
- Each commentary focuses on a different part of the syllabus
- Each commentary should be written on a current news article
- Each commentary should focus on a specific central concept

An economic commentary on a current news article which demonstrates your skills and knowledge of a topic from a specific section of the syllabus

Article Requirements

- **Cannot be more than a year old**

Articles used must have been published no earlier than one year before the writing of the commentary

- Does not have to be purely economic
- Should be chosen from an online or printed media source
- Should be included in your IA portfolio
- Should not be longer than a page (font size 11)

Note:

- Articles without any explicit economic analysis or evaluation are most effective.
- Articles which contain mostly numerical data might not be the most effective articles for economic analysis and evaluation.
- The IA commentaries need to be based on news extracts coming from **three different media sources**.

The IA – Cover page

On each commentary students must record:

1. the **title** of the article
2. the **source** of the article (plus date of access for online source)
3. the **date** the article was published
4. the **date** the commentary was written
5. the **word count** of the commentary
6. the **unit** of the syllabus to which the article relates
7. the **key concept** being used

Word count – exclusions

The following are NOT included in the 800 WCL:

1. Acknowledgements (if used)
2. Cover page
3. Diagram labels: **5 words or fewer**
4. Diagram headings: **10 words or fewer**
5. Tables of statistical data
6. Equations, formulae and calculations
7. Citations (must be in the body of commentary)
8. References

Formatting

1. Arial or Times New Roman
2. Size 11 or 12
3. 1.5 or double spaced

Assessment Criteria

Criterion	Marks	Achievement objectives
A - Diagrams	3	AO2 and AO4
B - Terminology	2	AO1
C - Application & analysis	3	AO2
D - Key concept	3	AO2
E - Evaluation	3	AO3
Total	14	
F - Rubric requirements	3	AO4

Criterion A tips – Diagrams

- Students should use **at least one** (appropriate) diagram in each Commentary
- These must be **explained in the context of the news media article** / extract
- Labelling should be **specific** to the article, **not generalised**
- Avoid copying/using diagrams from textbooks or websites
- **Avoid using / relying on colours** in diagrams.

Criterion B tips – Terminology

- Only use **relevant** economic terminology appropriate to the commentary, and do this **throughout** the assessment work
- As with responses in external exams, **appropriate key terms can be defined** where appropriate
- There is **no need to define all/any economic terms** within the commentary
- Definitions must *not* be in footnotes, as they will be ignored
- Do not include a list of definitions used at the end of each commentary.

Criterion C tips – Application and analysis

- State the economic theory that is relevant to the context of the news media article
- Use the theory to explain/analyse the events outlined in the article – writing from the perspective of an economist
- Ensure the article deals with issues related to the IB syllabus
- Do not include any (additional) theory that is not relevant to the article
- Do not assume reader's knowledge
- Include the text from the original article.
- This criterion assesses the quality of the arguments (breath and clarity of analysis)
- Avoid purely descriptive answers (describing what has happened in the article)
- Instead, link the article to relevant economic theory
- Providing advantages and disadvantages is only good analysis if these are specifically relevant to the article
- To score top marks, the analysis must be both appropriate and effective.

Criterion D tips – Key concept

- State the key concept that is (most) relevant to the context of the article, e.g. *"The conceptual focus of this commentary is..."*
- Define the key concept - do not assume reader's knowledge
- Determine the link between the key concept and the article
- Use the key concept to explain/analyse the events outlined in the article – writing from the perspective of an economist
- Refer to the key concept in the conclusion/judgement
- Only use one key concept per commentary
- Do not use the same key concept for other commentaries.

Criterion E tips – Evaluation

- Too often, evaluation is irrelevant, incorrect, or unsupported
- Do not research other related articles in order to use these for evaluation – the commentary must be based on the chosen news media article
- Avoid simply repeating what has already been described or analysed in the article – this is *not* evaluation
- Personal opinions must be supported and substantiated (positive economics)
- Consider counter-arguments to give a balanced evaluation.

Criterion E tips – Evaluation (useful phrases)

- This theory does not account for the . . .
- On the other hand...
- The extent to which this is likely to happen depends on . . .
- In the short term . . . However, in the long term . . .
- The most important cost is...., because
- Factor X is somewhat less significant than factor Y because . . .
- Other stakeholders such as...
- In reality, the theory may not hold true, because...

The IA focus:

Each written commentary must:

explain the links between the article, a key concept and economic theory taken from the unit of the syllabus on which the article is based.

Structuring the IA

There is **no specific format or structure required** for the economics IA, although the rubric requirements of Criterion F stipulate particular requirements. The structure below is a **suggested format** that can be used by students.

Item	What to include	Word count limit
Article	The article should be included in its entirety and original format; a URL link to the article is not sufficient.	Not included in the 800 words
Commentary cover page	- the commentary number - the title of the article - the new media source of the article (including date of access to the website if this is from the internet) - the date the article was published - the date the commentary was written - the word count of the written commentary - the unit of the syllabus to which the article relates - the key concept being used.	Not included in the 800 words
Introduction P1	You are discouraged from writing a lengthy introduction. You can start by explaining or using the most relevant key economic terms and the key concept for the commentary. Also outline the underlying problem or issue mentioned in the article.	100–150 words*
Diagram(s) P2	At least one fully labelled diagram is expected to explain the issue in the article and to offer a framework for economic analysis. Diagrams can also be used to demonstrate solutions to the issue or problem highlighted in the published article.	Headings on diagrams of 10 words or fewer plus diagram labels of 5 words or fewer are not included in the word count limit
Explanation of the diagram(s) P3	A thorough explanation of the diagram(s) is (are) required, applying relevant information from the published article. As a general rule of thumb, everything included in your diagram needs to be explained.	150–200 words*

Item	What to include	Word count limit
Analysis One more diagram can be added if needed P4	You should develop the explanation of the diagram(s) and economic theory(ies) used in the written commentary. This should be written in the context of the published article <i>and</i> the key WISE ChoICES concept chosen by the student.	250 words*
Evaluation P5 P6	You are expected to evaluate the application of the theory(ies) or suggested solution(s) to the problem by considering some of the unintended effects of the policy as well as prioritizing your arguments. For example, you can do this by discussing the short-run versus long-run implications and/or by explaining the economic impacts on different stakeholder groups. Make sure you include a succinct (concise) conclusion.	250 words*

11. A useful acronym that you can use for demonstrating evaluation in the IA is **CLASPS**. A clasp is something that holds things together, so is apt in helping you to evaluate the discussion points in the commentary. However, you **do not need to include all of these components** to demonstrate critical and reflective thinking:

- **Conclusion** – this should include a synthesis of the points discussed, with a decision made as far as possible.
- **Long-run versus short-run implications** of the points discussed and the policy(ies) recommended.
- **Assumptions** – what happens if the *ceteris paribus* assumption is removed? What does the news article *not* reveal that might be critical to the real-world issue or problem?
- **Stakeholder perspectives**, including the winners and losers of certain issues or policy decisions.
- **Priorities** – which of the points presented in the IA is of most significance/importance/relevance and why?
- **Strengths and shortcomings** – there should be consideration of the advantages and limitations of the policy recommendations made.

An **alternative** approach to demonstrating skills of evaluation is to use the **SLAP principle**:

- **Stakeholder perspectives** – a consideration of the various stakeholder groups that gain or lose from different issues or economic policy decisions.
- **Long-run versus short-run implications** of the points discussed and the policy(ies) recommended.
- **Assumptions** – what happens if the *ceteris paribus* assumption is removed? What does the news article *not* reveal that might be critical to the real-world issue or problem?
- **Priorities** – which of the points presented in the IA is of most significance/importance/relevance and why?

12. Overall, stick to the rules of the IA – the commentary should include **application of relevant key terms, explanations of diagram(s), analysis of the economic issue or problem, and evaluation of the solution offered.**

Group Work:

1. Become familiar with the instructions, especially the criteria
2. Study the following article and fill in the "IA Article Submission Form"
3. Structure a suggested IA and make an outline for each part (P1 to P6)

Swedish electricity prices soar to new all-time high

Prepare for a 10-minute presentation!

Article:

Swedish electricity prices soar to new all-time high

Electricity prices are set to reach new record levels in southern Sweden on Tuesday.

Less wind power than normal, as well as the cost of gas and electricity being on an upward curve in Europe this winter, has had a knock-on effect on southern Sweden, reports news agency TT.

On Tuesday, the average daily spot price of electricity south of Mälardalen (the region around Stockholm) is set to hit 4.25 kronor (\$0.46) per kilowatt hour.

That's far above the Monday price of more than three kronor, which was already a record.

During some hours on Tuesday, the price could even rise to more than six kronor, according to Nord Pool, the European power exchange for northern Europe.

In the two most northerly areas for electricity prices in Sweden, which benefit from proximity to the region's hydroelectric power industry, the average daily price will be no more than 0.60 kronor.

Solutions for less wind power:

Switch to other cheaper energy sources / develop other alternatives, since Sweden has a rich supply of moving water and biomass, which contributes to the country's high share of renewable energy.

- Wind energy / Install more wind turbines.
- Solar energy / Install more solar panels.
- Subsidise energy companies

Solutions to decrease the cost of gas and electricity:

This is a non-price determinant of supply: costs of factors of production (resources prices).

Possible solutions:

- Stimulate investment in discovering new oil fields;
- Bring in higher carbon taxes or directly encourage less use of oil;
- Nudge/encourage consumers to look into buying fuel efficiency cars/things
- Subsidise hydroelectric power industry (electricity company / nuclear power station) in order to lower electricity price.
- Import electricity from other countries.

Helpful resource:

Energy in Sweden: <https://energimyndigheten.a-w2m.se/Home.mvc?ResourceId=198022>